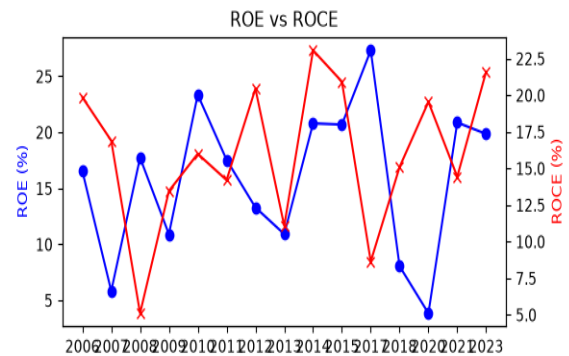
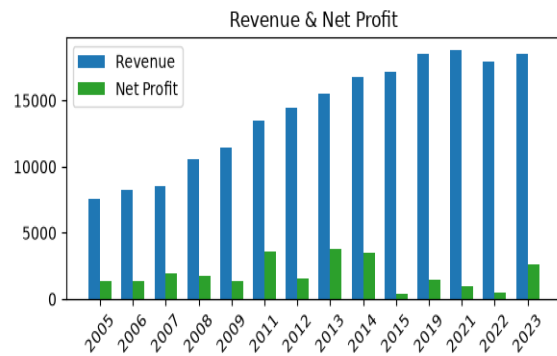
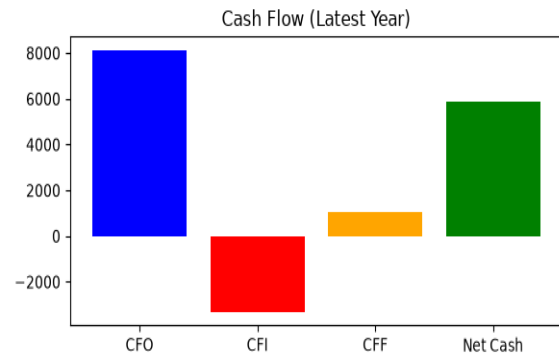
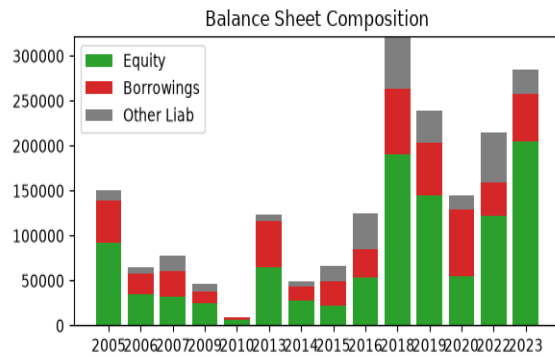


Bajaj Auto Ltd (BAJAJAUTO)

Revenue	Rs. 18473.8 Cr	Net Profit	Rs. 2642.8 Cr	OPM	28.8%
ROE	19.8%	ROCE	21.6%	D/E	2.87





Capital Allocation Pattern: Dividend Payer

Pros:

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons:

- Debt-to-equity ratio of 2.9 is elevated for a non-financial company and warrants monitoring
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum